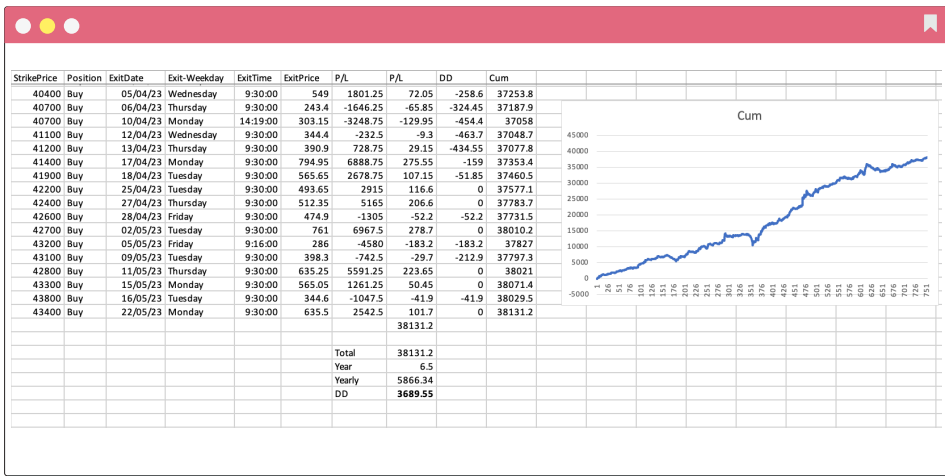


For example, suppose the at-the-money call option is initially priced at ₹100, and it reaches ₹120 after 11:00 a.m., indicating a 20% upward move. In this case, the trader buys the call option at ₹120. To manage risk, a stoploss order is placed at 30% below the entry price. In this example, the stoploss level would be ₹84 (30% of ₹120 is ₹36), ensuring an exit if the call option experiences a significant downturn. *The exit can be either on the same day if the stoploss is triggered or the next morning at 9:30 a.m. to avoid the impact of Theta decay.*

ANALYSIS OF HISTORICAL RESULTS ▼

To assess the efficacy of the BTST option buying strategy, historical data from the past 5 years is examined, specifically focusing on the Nifty index. The provided results showcase the entry times, entry prices, and exit times, with trades occurring on most days, excluding exceptional cases such as Thursdays without trades. The calculated profits and drawdowns shed light on the strategy's performance.



The cumulative profits obtained from implementing the strategy amount to approximately 38,000 points over the 5-year period. This translates to a substantial profit of around ₹3,58,000. However, it is essential to address the associated drawdown, which appears significantly high. Upon closer examination, it becomes evident that the majority of losses occurred during the market crash in 2020, characterized by elevated volatility (VIX). Consequently, avoiding trading during periods of high VIX environments would yield more favorable results with reduced drawdowns.